

The final column in the exhibit is downside spending volatility. This is the average of spending decreases experienced over the thirty-year period. The strategy with the most downside spending volatility is the modified RMD rule. At the ninetieth percentile, it experienced an average decrease in spending of 4 percent. At the median, the decrease is 5 percent, and at the tenth percentile, the decrease is 7 percent. The fixed-percentage withdrawal strategy is next on the list of those with the most downside spending volatility. Other strategies with noticeable downside volatility include the two endowment formula strategies and the Vanguard floor-and-ceiling percentages strategy. Since wealth was never depleted in this exhibit, the constant inflation-adjusted strategy and the ratcheting strategy are the only two that never experienced any downside volatility. Neither of these strategies experiences a spending decrease unless the portfolio becomes depleted.